

23STCV18814 23STCV18814

County: los-angeles

Division: Civil Law and Motion

Department: 733

Hearing date: 2026-07-20

Motion: JOINT MOTION FOR DETERMINATION OF GOOD FAITH SETTLEMENT OF CLAIMS AGAINST DEFENDANT
BLUE CROSS OF CALIFORNIA DBA ANTHEM BLUE CROSS

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Case Number: 23STCV18814 Hearing Date: July 20, 2026 Dept: 733

SUPERIOR COURT OF THE STATE OF CALIFORNIA

FOR THE COUNTY OF LOS ANGELES

MARCELINO

DIAZ,

Plaintiff,

vs.

BLUE CROSS OF CALIFORNIA DBA ANTHEM BLUE CROSS; ACCOUNTABLE
HEALTH CARE IPA; and DOES 1 through20, inclusive,

Defendants.

AND RELATED CROSS-ACTIONS.

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CASE

NO.: 23STCV18814

[TENTATIVE]

ORDER RE:

JOINT MOTION FOR DETERMINATION OF GOOD

FAITH SETTLEMENT OF CLAIMS AGAINST DEFENDANT BLUE CROSS OF CALIFORNIA

DBA ANTHEM BLUE CROSS

Dept. 733

8:30 a.m.

July 20, 2026

I.

INTRODUCTION

This

is an insurance bad faith action, arising from the alleged failure of

Defendants to

authorize admittedly necessary

medical care for Plaintiff under his HMO style health plan. Defendants

allegedly failed to arrange for a network of providers that would provide

necessary medical care to treat a condition in Plaintiff's left eye. When Plaintiff complained to Defendants that he needed treatment for his left eye, Defendants left Plaintiff to his own resources. Plaintiff is now permanently blind in his left eye.

On

August 8, 2023, Plaintiff Marcelino Diaz ("Plaintiff") initiated the action.

On

May 13, 2025, Plaintiff filed the operative first amended complaint ("FAC") against Defendants Blue Cross of California dba Anthem Blue Cross ("Anthem") and Accountable Health Care IPA ("Accountable Health Care"), alleging causes of action for (1) Breach of Contract, (2) Breach of the Implied Covenant of Good Faith and Fair Dealing, (3) Violation of Civil Code § 3428, and (4) Negligence.

On

July 31, 2024, Anthem filed a cross-complaint. On March 3, 2025, Anthem filed the operative second amended cross-complaint ("Anthem SACC") against Azul Vision, Inc. ("Azul Vision"), Chevy Chase Ambulatory Center L.P. ("Chevy"), Glendale ASC Management ("ASC"), and Astrana Health Management, Inc. ("Astrana").

On

August 28, 2024, Accountable Health Care filed a cross-complaint. On May 13, 2025, Accountable Health Care filed the second amended cross-complaint ("Accountable SACC") against Azul Vision, California Eye Care, Managed Eye Care Specialists, A Medical Group, Inc., ("California Eye"), Chevy, and ASC.

On

January 24, 2025, Astrana filed a cross-complaint against Anthem.

On May 8,

2026, Plaintiff and Anthem filed a joint motion for determination of good faith settlement and a joint motion to seal confidential settlement agreement and release.

On June 3,

2026, Azul Vision filed an opposition to the motion for determination of good faith settlement. On June 3, 2026, California Eye, Chevy, and

ASC joined Azul Vision's opposition.

On June 9, 2026, Anthem filed its reply to the motion for determination of good faith settlement.

On June 16, 2026, the Court continued the motion for determination of good faith settlement to allow Anthem to provide a copy of the Settlement Agreement to Azul Vision, California Eye, Chevy, and ASC.

On July 7, 2026, Azul Vision withdrew its opposition to the instant motion.

On July 8, 2026, California Eye withdrew its joinder to Azul Vision's opposition.

On July 9, 2026, Chevy and ASC withdrew their joinder to Azul Vision's opposition.

The motion is now unopposed.

On July 13, 2026, Anthem filed its supplemental reply.

II.

LEGAL STANDARD

A court must approve any settlement entered into by less than all joint tortfeasors or co-obligors. (Code Civ. Proc., § 877.6.) This requirement furthers two (sometimes competing) policies: (1) the equitable sharing of costs among the parties at fault, and (2) the encouragement of settlements. (*Erreca's v. Superior Court* (1993) 19 Cal.App.4th 1475, 1487.)

Under Code of Civil Procedure section 877.6: "A determination by the court that the settlement was made in good faith shall bar any other joint tortfeasor or co-obligor from any further claims against the settling tortfeasor or

co-obligor for equitable comparative contribution, or partial or comparative indemnity, based on comparative negligence or comparative fault.” (Code Civ. Proc., § 877.6, subd. (c).)

“[T]he intent and policies underlying section 877.6 require that a number of factors be taken into account including [1] a rough approximation of plaintiffs’ total recovery and the settlor’s proportionate liability, [2] the amount paid in settlement, [3] the allocation of settlement proceeds among plaintiffs, and [4] a recognition that a settlor should pay less in settlement than he would if he were found liable after a trial. Other relevant considerations include [5] the financial conditions and insurance policy limits of settling defendants, as well as [6] the existence of collusion, fraud, or tortious conduct aimed to injure the interests of nonsettling defendants. (Citation).” (Tech-Bilt, Inc. v. Woodward-Clyde & Associates (1985) 38 Cal.3d 488, 499 (“Tech-Bilt”).)

The Tech-Bilt

factors must be evaluated “on the basis of information available at the time of the settlement.” (Tech-Bilt, supra, 38 Cal.3d at p. 499.) “[A] defendant’s settlement figure must not be grossly disproportionate to what a reasonable person, at the time of the settlement, would estimate the settling defendant’s liability to be.” (Torres v. Union Pacific R. Co. (1984) 157 Cal.App.3d 499, 509.)

When a motion for

determination of good faith settlement is contested, the moving party must provide the court with declarations or other evidence demonstrating the facts necessary to evaluate the settlement in terms of the Tech-Bilt factors. (City of Grand Terrace v. Superior Court (1987) 192 Cal.App.3d 1251, 1261.

After an initial

showing by the moving party, the burden of proof then shifts to the nonsettling defendant to demonstrate the settlement lacks good faith. (Code Civ. Proc., § 877.6, subd. (d); Abbott Ford, Inc. v. Superior Court (1987) 43 Cal.3d 858, 895.) In order to demonstrate a lack of good faith, the nonsettling party must show the settlement is so far “out of the ballpark” as to be inconsistent with the equitable objectives of section 877.6. (Nutrition Now, Inc. v. Superior Court (2003) 105 Cal.App.4th 209, 213.)

III.

DISCUSSION

Plaintiff

and Anthem move for an order determining that the confidential settlement entered into between Anthem and Plaintiff was made in good faith, and that all present and future claims against Anthem by any non-settling party for equitable comparative contribution, partial or comparative indemnity, equitable indemnity, implied indemnity and declaratory relief based on comparative fault are barred. As stated above, the Court on June 16, 2026 continued the motion to allow Anthem to provide a copy of the Settlement Agreement to Azul Vision, California Eye, Chevy, and ASC. The motion is now unopposed.

As to the first Tech-Bilt

factor, Anthem maintains that it has meritorious and substantial defenses to each of Plaintiff's claims. Anthem denies that it breached any contractual duty, denies that it acted unreasonably or in bad faith, denies that Civil Code Section 3428 imposes liability under the facts of this case, and denies that any act or omission by Anthem was a substantial factor in causing Plaintiff's alleged injuries or damages. Those defenses materially reduce Anthem's reasonable settlement value. With respect to the bad faith claim in particular — which carries the greatest potential exposure — Plaintiff faces significant challenges. To prevail, Plaintiff must establish not only that Anthem acted unreasonably, but also that such conduct was a proximate cause of Plaintiff's alleged damages. Anthem disputes both elements. Plaintiff must also account for the alleged conduct and responsibilities of Accountable and Astrana, including their alleged roles in authorization, network access, continuity of care and timely access to care. Anthem's reasonable exposure therefore cannot be evaluated as though Anthem alone was responsible for all alleged injuries. (Kim Decl., ¶ 12.)

As to the second Tech-Bilt

factor, the Court finds that the amount paid to be reasonably proportionate to Anthem's estimated potential liability with regards to the underlying incident.

As to the third Tech-Bilt

factor, it is anticipated that Plaintiff will receive all the settlement proceeds less any attorneys' fees and costs associated with the case, as negotiated between Plaintiff and his counsel.

As to the fourth Tech-Bilt

factor, Anthem is expected to pay less in settlement than they would after trial, as Plaintiff will not face the risks and costs involved with taking his case against Anthem to trial.

As to the fifth Tech-Bilt

factor, there is no evidence before the Court that the settlement agreement was the result of any fraud or tortious conduct, but rather was followed from extensive arm's length negotiations between the Anthem and Plaintiff. The settlement followed three mediations over a period spanning nearly two years. The parties were represented by counsel, had access to substantial discovery records, and negotiated through a mediator. (Kim Decl., ¶ 14.) (Kim Decl., ¶ 14.)

"[W]hen no one

objects, the barebones motion

which sets forth the ground of good faith, accompanied by a declaration which

sets forth a brief background of the case is sufficient." (City of Grand Terrace v. Superior Ct. (1987) 192 Cal App.3d 1251, 1261.)

Anthem's motion for good faith

settlement determination is granted.

IV. CONCLUSION

Based on the

foregoing, Anthem's Motion for Good Faith Settlement Determination is GRANTED.

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Dated this 20th

day of July 2026

Hon. Gary D.

Roberts

Judge of the

Superior Court